

# Introduction to Microeconomics

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TR 4:00 - 5:15 | 1501 Posvar

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## Course Description

This course is about decisionmakers with 1) preferences, while 2) facing scarcity. Each of us make hundreds of choices every day. And each of our choices plays out in our social and political environment. In this class we will consider how decisionmakers make choices and how individuals' choices in groups interact. Economists ask, "What decisions should and do we make when we can't have everything?" Tools in this class will organize your thinking about the decisions we face as a society and as individuals.

At a high level, we will begin by building a model of cooperation, production, and shared benefit. Then we will look at how types of markets can coordinate decision-making between large groups of decisionmakers. In this framework, we will look at cases when markets work imperfectly and how government policy can address market failures. We will consider firms, market power, and how they behave in markets over time.

This is an honors class. We will go faster and do a bit more than the regular section of the Intro Micro. There will be a little more mathematics in the class, but nothing more than algebra. We will also think more about consumer choice than the regular class, considering both conventional ways of thinking about consumer choice and behavioral economic models of consumer choice.

The course is delivered partly asynchronously, and partly in person during class time with the option (although discouraged) for remote participation. There are few traditional lectures; exams are open book; homework is submitted and returned online. Economics relies heavily on mathematics as a cognitive stepstool. And mathematical proficiency in algebra is helpful for this class, but no matter your background, if you're willing to work hard you are more than capable of succeeding. Welcome!

## Course Resources

There are many resources available to help you master the material. Some of your time should be spent on homework, some on reading, and some in discussion with instructors (and colleagues). Economics is best learned through practice, so put in the time to master it. Class resources include:

- **Canvas** holds the class together, where you'll find
  - Announcements
  - Tutorials (concept videos)
  - Demos (practice problem videos)

- Homework
- Study guides
- Miniexam checklists
- **The Textbook** for the class is Gregory Mankiw's, *Principles of Microeconomics*, in the 5th edition. You can find the text with a simple search. More recent editions include updated examples but no new topics. Any addition of the text will do, even other principles of microeconomics books are usable, but will involve more work on your part. Let me know if you have questions.
- **Gradescope** will be our portal to collect and return assignments.
- **Office Hours** are a great resource and will be announced on Canvas.

## Grading

This class is designed to respect your time, minimizing busywork, trick questions, and the anxiety of high-stakes exams. Your success in this class will depend on your ability to understand and apply the theory developed in class. I expect you to work hard, and in return you will leave this course with a deeper understanding of economics.

Your highest scores will count for a relatively large portion of your grade. This lowers the stakes but also means you cannot simply sum the point totals up to see how you are doing in the class. Your final grade will be based on the weighted average of all your scores as the following:

- **Check-Ins (10%)** are a low-stakes environment in which you will verbally deliver one randomly chosen homework or mini-exam question to the instructor and a group of peers. Times will be scheduled.
- **Homework ( $5 \times 5\% = 25\%$ )** assignments are due by the beginning of class (*typically every other Thursday, see schedule below*). Assignments will be completed using a template provided on Canvas and submitted individually online via Gradescope. Solutions will be reviewed in class, so late assignments won't be accepted. Working together is strongly encouraged but all work should be your own and will be turned in individually. Your lowest two homework grades will be dropped.
- **Miniexams ( $2 \times 20\% + 2 \times 10\% + 1 \times 5\% = 65\%$ )** are designed for you to demonstrate competency and mastery of the most recent topics. There will be six open-book miniexams. Miniexams will take place during the first part of class. Your lowest miniexam score will be dropped. Your top two miniexam scores will count as 20% of your grade. Your third and fourth highest miniexam scores will count as 10% of your grade. Your fifth highest miniexam will count as 5% of your grade. More details will be made available at the time.

During the miniexams: 1) You may use material from your notes and the textbook; 2) You may not use any material that requires internet access. Your exam should be your own and is subject to the Academic Conduct Code (below). If you are **at all unclear** about a particular piece of material with respect to these two guidelines, it is your responsibility to clarify its appropriateness with the instructor. Please email with any questions about what constitutes an academic violation. We take this very seriously.

Missed work cannot be made up post-hoc. Contact me before the due date to apply for an extension if you anticipate submitting late work.

## Disability Services

If you have a disability, contact both the instructor and the Office of Disability Resources and Services (DRS), 140 William Pitt Union, 412-648-7890 as early as possible in the term. DRS will verify your disability and determine reasonable accommodations for this course.

## Academic Conduct Code

All students are expected to adhere to the standards of the Kenneth P Dietrich School of Arts and Sciences Academic Conduct Code (details at [as.pitt.edu/faculty/policies-and-procedures](http://as.pitt.edu/faculty/policies-and-procedures)). Any violation is a serious matter. Any student engaged in cheating, plagiarism, or other acts of academic dishonesty would be subject to disciplinary action, may 1) receive a zero on the exam counting for 20% of their class grade, or 2) receive an F in the class.

## Final Notes

1. This class is designed for you to succeed. Work hard, be prepared, and don't hesitate to seek us out when you need help!
2. Students are responsible for all covered materials, announcements, and assignments.
3. I expect you to complete and upload your work early enough that you have time to work through any technology problems you run into. Please email me as soon as you run into problems. I understand if you might run into problems during these unusual times, so contact me as soon as problems arise.
4. I reserve the right to modify materials/procedures, announced by email and Canvas.

## Course Schedule (*Tentative*)

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|                                                                |                                              |                                                 |                                              |
|----------------------------------------------------------------|----------------------------------------------|-------------------------------------------------|----------------------------------------------|
| <b>Week 1.</b> (starting Aug. 30)                              |                                              | <b>Week 2.</b> (starting Sept. 6)               |                                              |
| <b>Topics.</b> Introduction to Class; Production Possibilities |                                              | <b>Topics.</b> Four Quad PPF; Markets; Demand   |                                              |
| <b>Ch.</b> 1, 2, 3                                             | <b>Due.</b> Pre Homework (Tr)                | <b>Ch.</b> 4                                    | <b>Due.</b> Homework 0; Miniexam 0           |
| <b>Week 3.</b> (starting Sept. 13)                             |                                              | <b>Week 4.</b> (starting Sept. 20)              |                                              |
| <b>Topics.</b> Equilibrium; Government Policy                  |                                              | <b>Topics.</b> Consumers; Producers; Efficiency |                                              |
| <b>Ch.</b> 5, 6                                                | <b>Due.</b> Homework 1 (Tr)                  | <b>Ch.</b> 7                                    | <b>Due.</b> Miniexam 1 (Tr)                  |
| <b>Week 5.</b> (starting Sept. 27)                             |                                              | <b>Week 6.</b> (starting Oct. 4)                |                                              |
| <b>Topics.</b> International Trade                             |                                              | <b>Topics.</b> Externalities                    |                                              |
| <b>Ch.</b> 8, 9                                                | <b>Due.</b> Homework 2 (Tr)                  | <b>Ch.</b> 10, 11                               | <b>Due.</b> Miniexam 2 (Tr)                  |
| <b>Week 7.</b> (starting Oct. 11)                              |                                              | <b>Week 8.</b> (starting Oct. 18)               |                                              |
| <b>Topics.</b> Game Theory and Public Goods                    |                                              | <b>Topics.</b> Common Resources                 |                                              |
| <b>Ch.</b> 11                                                  | <b>Due.</b> None                             | <b>Ch.</b> 13                                   | <b>Due.</b> None                             |
| <b>Week 9.</b> (starting Oct. 25)                              |                                              |                                                 | <b>Week 10.</b> (starting Nov. 1)            |
| <b>Topics.</b> Production Costs                                |                                              | <b>Topics.</b> Monopoly                         |                                              |
| <b>Ch.</b> 14                                                  | <b>Due.</b> Homework 3 (Tr)                  | <b>Ch.</b> 15                                   | <b>Due.</b> Miniexam 3 (T), Homework 4 (Sun) |
| <b>Week 11.</b> (starting Nov. 8)                              |                                              | <b>Week 12.</b> (starting Nov. 15)              |                                              |
| <b>Topics.</b> Monopolistically Competitive Firms              |                                              | <b>Topics.</b> Oligopolistic Firms              |                                              |
| <b>Ch.</b> 16                                                  | <b>Due.</b> Miniexam 4 (T), Homework 5 (Sun) | <b>Ch.</b> 17                                   | <b>Due.</b> Miniexam 5 (T)                   |
| <b>Week 13.</b> (starting Nov. 22)                             |                                              |                                                 |                                              |
| Thanksgiving Recess<br>(no class or assignments)               |                                              |                                                 |                                              |
| <b>Week 14.</b> (starting Nov. 29)                             |                                              | <b>Week 15.</b> (starting Dec. 6)               |                                              |
| <b>Topics.</b> Factors of Production; Labor Market             |                                              | <b>Topics.</b> Consumer Choice                  |                                              |
| <b>Ch.</b> 18                                                  | <b>Due.</b> Homework 6 (Sun)                 | <b>Ch.</b> 21                                   | <b>Due.</b> Miniexam 6 (Tr)                  |

While the final grade breaks will depend on the exact distribution of scores, the worst case scenario is as follows:

|                 |    |                |   |                |    |
|-----------------|----|----------------|---|----------------|----|
| 97.0% and above | A+ | 93.0% to 96.9% | A | 90.0% to 92.9% | A- |
| 87.0% to 89.9%  | B+ | 83.0% to 86.9% | B | 80.0% to 82.9% | B- |
| 77.0% to 79.9%  | C+ | 73.0% to 76.9% | C | 70.0% to 72.9% | C- |
| 67.0% to 69.9%  | D+ | 63.0% to 66.9% | D | 60.0% to 62.9% | D- |

Below 60% is an F. All grades are rounded to the nearest tenth of a percent.